

ARE YOU DATA RICH?

EVEN IF YOU ARE, LEVERAGING THE DATA MEANINGFULLY IS A DIFFERENT BALL GAME. GETTING THAT PART RIGHT IS KEY TO SUCCESS IN YOUR ORGANISATION'S DIGITAL TRANSFORMATION DRIVE

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KITCHENWARE, a small utensils shop in old Gurugram's Sadar Bazar, recently digitised its inventory. Every product in the store was bar-coded, easing the billing process. But the data wasn't used to analyse fast-moving and rarely moving products, which could have simplified inventory management—for example, which item to stock more, or which item to reorder at more frequent intervals, among other things.

Now, munch on this. When India went into its first Covid-19 lockdown in March 2020, GCMMF (Amul) was able to successfully deploy a frozen food supply chain to deliver dairy products overnight, R.S. Sodhi, MD of Amul had earlier told *Business Today*. By maximising the use of data, software and digital infra, Sodhi was able to manage inventory in a way that the retailers never ran out of stock of key essential items.

While the scale of Kitchenware and Amul are obviously different, the fundamental need for digital solutions was the same. Yet, it was Amul's access to and analysis of real-time data that helped it steer through the lockdown challenge.

Over the past decade, leading enterprises and organisations have increas-

WHY DATA-DRIVEN TRANSFORMATION MATTERS

54%

INCREASE IN REVENUE PERFORMANCE

44%

FASTER TIME-TO-MARKET

62%

IMPROVEMENT IN CUSTOMER SATISFACTION

54%

INCREASE IN PROFIT IMPACT

SOURCE HARVARD BUSINESS REVIEW

ingly adopted digital technologies. From deploying enterprise resource planning (ERP) to customer relationship management (CRM) solutions to creating mobile apps to digitally enabling the enterprise, organisations have adopted digital transformation frameworks as a way to reimagine themselves, staying competitive in their respective businesses and industries. Yet, most have only understood it to be about automating operations, and investments in the most critical area—data analytics—remain low. Niranjana Ramsunder, CTO of US-headquartered digital technology and transformation firm UST, says, "If we were to limit data-driven to simply mean advanced analytics, machine learning and other similar areas, then we could say that the data, analytics and ML-led projects would be around 40 per cent of the total spend [on digital transformation]."

But why is data analytics critical? "Digital transformation starts with data, but the increasing volume, velocity and variety of data makes it more and more complex to draw valuable insights and make informed decisions," says Irina Ghose, COO of Microsoft India, adding that with data analytics, organisations can break down data silos and generate